DIPAM (the Department of Investment and Public Asset Management) said at CII's (Confederation of Indian Industry's) annual session this year: "After 17 years, the country will actually see a privatisation. The last one happened in 2003-04."

In August this year, the Centre also announced its National Monetisation Pipeline (NMP). By allowing private sector firms to operate key infrastructure projects without selling them the underlying assets, the Centre hopes to raise Rs 6 lakh crore over the next four years—India's education and health budgets combined—to fund its ambitious infrastructure plans and bridge its yawning fiscal deficit. Projects in 14 sectors, including roads, railways, power transmission and telecom will be given out on long-term leases through competitive bidding. The plan includes Rs 1.6 lakh crore worth of projects in roads, Rs 1.5 lakh crore in railways, Rs 45,000 crore in power transmission and so on. "The government is doing reforms not out of compulsion but out of conviction," said Modi on August 11 at a CII event. "As a reformer, he is thinking in terms of paradigm shifts," says Rajiv Kumar, vice-chairman of Niti Aayog. Modi's focus in 2021 has been on pushing for a more free market economy, reducing government monopolies in businesses and attracting investment.

In October, the government also notified a major change to income tax rules, officially repealing retrospective taxation—a policy that spooked many investors—nearly a decade after it came into force. Meanwhile, the impact of the Centre's tax rationalisation policy kicked in incrementally this year, with corporate profit tax rates coming down from 35 per cent to 17 per cent, realigning Indian tax rates with global standards.

To ensure focus on timely implementation, the prime minister regularly held *pragati* meetings (progress reviews) with several ministries this year, to review projects that were stuck. The meetings brought together central ministry representatives with those from state departments, the heads of execution agencies, district collectors and so on. As of September, projects worth Rs 14 lakh crore had been reviewed and fast-tracked.

Another area the Modi government has focused on is the streamlining of labour laws, a politically contentious reform that was set in motion this April. As many as 44 Central labour laws were assimilated into four codes, and about 542 different rules for minimum wages have been simplified to 12 minimum wages. The new labour laws give greater flexibility to labour markets and give manufacturers with 300 workers or less the right to lay off workers with appropriate compensation. A new wage code also came into effect in April this year. Ministries have also been instructed to keep identifying outdated laws that can be repealed.

"Labour law reforms have been pending since 1991—the World Bank was very keen to have that reform at the time but the government

BIG REFORMS OF 2021

DIVESTMENT

- Barring a few strategic sectors, public sector undertakings (PSUs) in all other sectors are to be divested
- Only four PSUs will remain in operation in these strategic sectors
- Air India was divested to the Tata Group
- **Monetising of assets:**
  - National Monetisation Pipeline (NMP) announced, aiming to raise Rs 6 lakh crore
  - NMP projects include Rs 1.6 lakh crore worth of roadways, Rs 1.5 lakh crore in railways, Rs 45,000 crore in power transmission and Rs 39,832 crore in power generation

TAXATION

- Corporate tax cut implemented. New manufacturers can avail a 15 per cent tax rate
- 'Vivad se Vishwas' to reduce litigation in the direct tax payments
- E-filing portal for immediate processing of income tax returns and quick refunds
- Retrospective taxation removed
- Decriminalisation of some offences: 48 sections of the Companies Act decriminalised to improve ease of doing business. Of the remaining 66 compoundable offences, 23 can be dealt with via in-house adjudication

PRODUCTION

- A production-linked incentive (PLI) scheme was extended to several sectors, including medical devices, large scale electronics manufacturing and semiconductors

SPACE SECTOR

- The Centre formed IN-SPACe to facilitate private participation in the space sector. On the anvil is a single window independent agency to manage all programmes

TELECOM

- Moratorium on payments of AGR (adjusted gross revenue) and spectrum-related dues. Rationalisation also done of AGR–the inclusion of non-telecom revenues in AGR calculation done away with
- 100 per cent FDI permitted in the sector through automatic route
- Spectrum allocation time raised from 20 to 30 years
- Govt. charges on spectrum sharing removed